

that they had gotten 700 more shares just for owning 100 in the first place. To them, that felt like “found money”—never mind that the price per share had been cut in half with each split.⁴ In December, 1999, one elated Exodus shareholder, who went by the handle “givemeadollar,” exulted on an online message board: “I’m going to hold these shares until I’m 80, [because] after it splits hundreds of times over the next years, I’ll be close to becoming CEO.”⁵

What about Exodus the business? Graham wouldn’t have touched it with a 10-foot pole and a haz-mat suit. Exodus’s revenues were exploding—growing from \$52.7 million in 1998 to \$242.1 million in 1999—but it lost \$130.3 million on those revenues in 1999, nearly double its loss the year before. Exodus had \$2.6 billion in total debt—and was so starved for cash that it borrowed \$971 million in the month of December alone. According to Exodus’s annual report, that new borrowing would add more than \$50 million to its interest payments in the coming year. The company started 1999 with \$156 million in cash and, even after raising \$1.3 billion in new financing, finished the year with a cash balance of \$1 billion—meaning that its businesses had devoured more than \$400 million in cash during 1999. How could such a company ever pay its debts?

But, of course, online traders were fixated on how far and fast the *stock* had risen, not on whether the *company* was healthy. “This stock,” bragged a trader using the screen name of “Launch_Pad 1999,” “will just continue climbing to infinity and beyond.”⁶

The absurdity of Launch_Pad’s prediction—what is “beyond” infinity?—is the perfect reminder of one of Graham’s classic warnings. “Today’s investor,” Graham tells us,

is so concerned with anticipating the future that he is already paying handsomely for it in advance. Thus what he has projected with so much study and care may actually happen and still not bring him any profit. If it should fail to materialize to the degree expected he may in fact be faced with a serious temporary and perhaps even permanent loss.”⁷

Where the Es Ended Up